

▶ Masterclass Day 28

Understanding Macroeconomics

The big picture: How inflation, interest rates, GDP, and government policies drive the entire stock market.

The Silent Wealth Killer: Inflation

Inflation is the general increase in prices and fall in the purchasing value of money over time.

- » **Purchasing Power Erosion:** If inflation is 6% and your savings account pays 3%, you are actually getting poorer every single year.
- » **Cost-Push vs. Demand-Pull:** Caused either by surging production/raw material costs or excessive money supply chasing limited goods.
- » **The Equity Hedge:** Quality stocks with pricing power serve as one of the best long-term defenses against high inflation.



The Central Bank Guardian: **RBI**



Monetary Policy Authority

The Reserve Bank of India (RBI) controls the nation's monetary policy, currency issuance, and banking regulation.

- » **Price Stability:** RBI's primary mandate is to keep inflation within a target band (typically 4% +/- 2%).
- » **Lender of Last Resort:** Supervises commercial banks to ensure absolute financial stability during economic stress.

The Cost of Money:

Repo Rate

The **Repo Rate** is the interest rate at which the central bank (RBI) lends short-term money to commercial banks.

Controlling Inflation: When inflation rises, RBI *raises* repo rates. Banks then hike loan and EMI rates, cooling down consumer spending and borrowing.

Market Impact: Higher repo rates make debt expensive for corporations, often putting pressure on stock market valuations.



The Economic Pulse: **Gross Domestic Product (GDP)**

What is GDP?

GDP is the total monetary value of all finished goods and services produced within a country during a specific time period.

The Four Pillars: Consumption + Investment + Government Spending + Net Exports (Exports minus Imports).

Real vs. Nominal GDP

Nominal GDP: Measured at current market prices without adjusting for inflation.

Real GDP: Adjusted for inflation, giving the true measure of actual economic output growth over time.

The National Blueprint: **Union Budget**

Presented annually by the Finance Minister, the **Union Budget** is the government's financial statement outlining estimated revenues and expenditures.

- » **Capital Expenditure (CapEx):** Spending on infrastructure, railways, and highways that creates long-term economic assets.
- » **Tax Proposals:** Changes in income tax slabs, corporate tax rates, and customs duties that directly impact investor sentiment.
- » **Fiscal Deficit:** The gap between total government spending and total revenue, funded through market borrowings.



Steering the Nation: **Fiscal Policy**

Expansionary Policy

Used during economic downturns or recessions.

The government **increases public spending** and reduces taxes to put money into consumer hands, stimulating demand and business growth.

Contractionary Policy

Used when the economy is overheating and inflation is running rampant.

The government **cuts back on spending** and increases taxes to slow down excessive demand and stabilize prices.

Great Job on Day 28!

Tomorrow: Day 29 - Long-Term Wealth.

Stay informed, understand the big picture, and invest wisely!

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